

THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Italy 2021



THE OECD TAX-BENEFIT DATABASE FOR ITALY

Description of policy rules for 2021

OECD contact: Daniele Pacifico, Jobs and Income Division, Directorate for Employment, Labour and Social Affairs. Email: Tax-Benefit.Models@oecd.org

National team:
Mariella Cozzolino (National Statistical Institute).

This version: September 2021

This work is published on the responsibility of the Director of the OECD Directorate for Employment, Labour and Social Affairs. The opinions expressed and arguments employed herein do not necessarily reflect the official views of the Organisation or of the governments of its member countries.

This document and any map included herein are without prejudice to the status of or sovereignty over any territory, to the delimitation of international frontiers and boundaries and to the name of any territory, city or area.

You can copy, download or print OECD content for your own use, and you can include excerpts from OECD publications, databases and multimedia products in your own documents, presentations, blogs, websites and teaching materials, provided that suitable acknowledgment of the source and copyright owner is given. All requests for public or commercial use and translation rights should be submitted to rights@oecd.org. Requests for permission to photocopy portions of this material for public or commercial use shall be addressed directly to the Copyright Clearance Center (CCC) at info@copyright.com or the Centre français d'exploitation du droit de copie (CFC) at contact@cfcopies.com.

Table of contents

<i>Preface</i>	<i>4</i>
<i>The OECD tax-benefit model for Italy: Policy rules in 2021</i>	<i>1</i>
1. Reference wages and other reference monetary amounts	1
2. Unemployment benefits	1
2.1. Unemployment benefit (Nuova assicurazione per l'impiego - NASPI)	1
2.2. Unemployment Assistance	3
3. Social assistance and housing benefits	3
3.1. Social assistance (Reddito di Cittadinanza, RdC)	3
3.2. Housing benefit (Contributo per l'affitto)	6
4. Family benefits	8
4.1. Family allowance (Assegni al Nucleo Familiare)	8
4.2. Allowance for large families (Assegno per famiglie numerose)	10
4.3. Natality allowance (Bonus bebé)	11
5. Childcare costs and benefits for pre-school children	12
5.1. Gross childcare fees	12
5.2. Childcare benefits	13
6. In-work benefits	15
6.1. Employee bonus (Bonus dipendenti – ex ‘Bonus 80 Euro’)	15
7. Social security contributions and payroll taxes	16
7.1. Employee social security contributions (Contributi Sociali a carico del lavoratore)	16
7.2. Employer social security contributions (Contributi Sociali a carico del datore di lavoro)	17
8. Taxes	17
8.1. Personal income tax (Imposta sui Redditi delle Persone Fisiche, IRPEF)	17
9. Selected output from the OECD tax-benefit model (TaxBEN)	22
<i>Annex: Other benefits and direct taxes</i>	<i>23</i>
Wage supplementation funds (Cassa Integrazione Guadagni, CIG)	24
Sickness Benefit	25
Baby sitter or nursery voucher (voucher baby sitter o asili nido)	26
Maternity allowances (Assegno di maternità)	27
Bonus at birth (Premio alla nascita / bonus “mamma domani”)	27
Family card	28
Emergency income (Reddito di emergenza - REM)	28
Employer social security contribution exemptions	29

Preface

This report provides a detailed description of the tax and benefit rules in Italy as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2021**.
- The symbol  in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.
- Text in **blue font colour** identifies COVID-related measures that were still in place on the reference policy date of this report.

The OECD tax-benefit model for Italy: Policy rules in 2021

1. Reference wages and other reference monetary amounts

Average wage **[AW]**: The OECD tax-benefit model uses Secretariat estimates of the average full-time wage (available [here](#))¹. If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

Minimum wage **[MIN]**: Italy did not have a national statutory minimum wage in 2021.

2. Unemployment benefits

In Italy, the 2021 unemployment benefit system is characterised by the following schemes:

i) Unemployment insurance benefit for private sector employees (*Nuova assicurazione per l'impiego, NASPI*) and

ii) Unemployment allowance for dependent self-employed workers, postdoctoral research fellows and PhD students with scholarships (*DISS-COLL*);

Section 2.1 describes the NASPI. The DISS-COLL scheme is outside the scope of the OECD tax-benefit model and is briefly described in the Annex.

2.1. Unemployment benefit (*Nuova assicurazione per l'impiego - NASPI*)

Variable names:³ **[UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and taxable. 

2.1.1. Eligibility conditions

NASPI is intended for all workers who have involuntarily lost their jobs. The only excluded categories are permanent public employees and temporary and permanent agricultural workers.

Contribution/employment history: 13 weeks of contributions in the four years preceding the unemployment event and at least 30 days of work in the 12 months prior to the beginning of the period of unemployment.

¹ Average Wages are estimated by the [Centre for Tax Policy and Administration](#) at the OECD. For more information on methodology see the latest [Taxing Wages publication](#).

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ The variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the benefit claimant satisfies the following compulsory conditions:⁴

- Registered with the public employment service (“*Centri per l’impiego*”);
- Not working;
- Involuntarily unemployed;⁵
- Actively seeking employment, ready to enter into employment relationships without delay or to take up any active labour market programme.

2.1.2. *Benefit amount*

The amount payable for the NASPI is 75% of prior monthly wage for wage levels below EUR 1221 per month; for higher wages benefit is increased by 25% of the difference between the last monthly wage and EUR 1227. Maximum amount is EUR 1335. The benefit is reduced by 3% per month from the first day of the fourth month.

2.1.3. *Benefit duration*

Waiting period is typically eight days. Benefit duration is equal to half the number of weeks for which social contributions were paid in the four years before the start of unemployment. The maximum duration is 24 months. Weeks that have already given rise to the payment of unemployment benefits are excluded from the computation of the NASPI duration.

COVID-related measure: From 23 March 2021 (date of entry into force of DL 41/2021) until 31 December 2021 the eligibility condition of at least 30 days of work in the 12 months prior to the beginning of the period of unemployment is not applied.

COVID-related measure: As from May 26 2021 (date of entry into force of DL 73/2021) the reduction of the allowance by 3% per month from the first day of the fourth month is suspended. This measure will cease to have effect on 1 January 2022 when the monthly reduction of the allowance will resume, also taking into account the months of the elapsed suspension.

OECD note: the reforms of March and May 2021 are not included in the 2021 calculations of the OECD tax-benefit model as the reference policy date of the calculations is 1st January 2021.

2.1.4. *Means test*

The benefit is not means-tested.

2.1.5. *Tax treatment*

NASPI benefit is subject to the income tax. The benefit is exempt from social security contribution payments although imputed contributions are attributed to the benefit recipients.

⁴ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [Immervoll and Knotz \(2018\)](#), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

⁵ Workers who quit their job voluntarily are not entitled to the NASPI unless: i) there is a “consensual resolution” of the employment contract; ii) the resignation are made during the protected maternity period, i.e. from 300 days before the presumed date of childbirth until the child's first year of life, or for “just-cause”

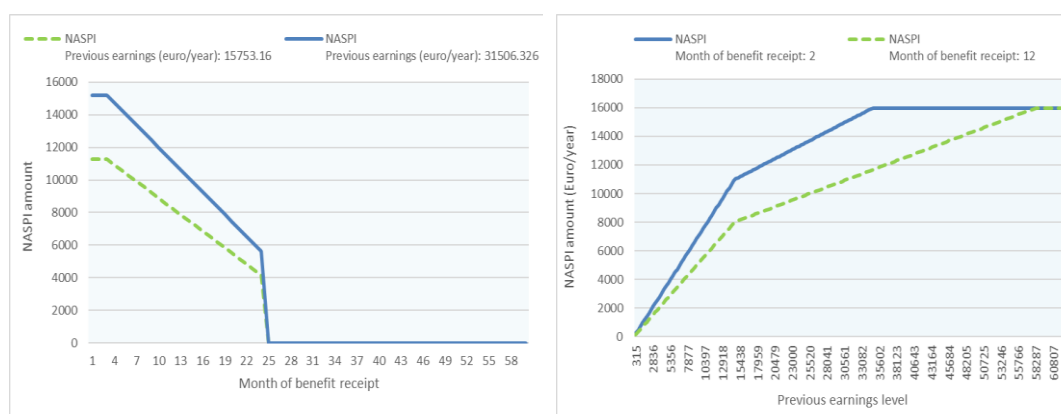
2.1.6. Interactions with other components of the tax-benefit system

Unemployment benefit payments are suspended for the duration of the parental leave. Payment of the unemployment benefit is suspended also for the duration of the sickness benefit but only when the sickness started within 60 days from the dismissal. NASpI is compatible with the Citizenship Income (see section 3).

2.1.7. Combining benefit receipt and employment/starting a new job

NASpI payments are suspended if the jobseeker takes up a temporary employment of no more than 6 months and the expected annual taxable earnings from this job are above EUR 8,000. If taxable earnings are below EUR 8,000 a *reduced* benefit amount is still payable *independently of the contract duration*. The reduced benefit amount is equal to the original benefit amount minus 80% of the taxable earnings that are earned between the beginning of the new job and the end of the fiscal year (or the end of the NASpI if the benefit ends before the end of the new job).

Figure 1. Unemployment insurance by time of receipt and previous earnings



Note: Results for single person of 40 years old without children and with a ‘long’ and continuous previous employment.

Source: [OECD tax-benefit model 2021](#).

2.2. Unemployment Assistance

Variable names: [\[UA_p\]](#); [\[UA_s\]](#)

None (abolished as of 1 January 2018).

3. Social assistance and housing benefits

3.1. Social assistance (*Reddito di Cittadinanza, RdC*)

Variable name: [\[SA\]](#)

The RdC is a non-contributory benefit, means-tested and not taxable.

For ‘elderly’ households, i.e. households where there are only persons of 67 years old or above, the RdC takes the name of “*Pensione di Cittadinanza*” (PdC - “Citizenship Pension”). As the OECD tax-benefit model focuses on the working age population, this section focuses on the rules for the RdC.

3.1.1. Eligibility conditions

- Capable adult members without employment who are not in full-time education are asked to be available for work and ready to take up employment. They have

to register as unemployed at the Public Employment Service and to sign off an ‘activation plan’.

- Household with a jobseekers who voluntarily quite their job are not eligible for this benefit for a period of 12 months.
- No members of the household should have vehicles registered in the six months before the claim (24 months for vehicles with an engine capacity exceeding 1,600 cc or motorcycles above 250 cc registered).
- Claimants must have an Italian or EU citizenship, otherwise the requirement is to be resident in the country for at least ten years (the last two continuously).

3.1.2. *Benefit amount*

Benefit entitlements are calculated as follows:

$RdC = \max(0, (6000 * EQ + \min(\text{Rent}, 3360) - \text{Total household income}))$

$PdC = \max(0, (7560 * EQ + \min(\text{Rent}, 1800) - \text{Total household income}))$

The Equivalence Scale (EQ) is 1 for the first component, 0.4 for each other adult, 0.2 for each component aged less than 18 years. The EQ cannot be higher than 2.1 (2.2 for household with a heavy disabled person). The registered home rent is the rent paid for the main accommodation declared in the ISEE declaration form (see Box 1).

The maximum benefit amount cannot be higher than $[9360 * EQ - \text{Total household income}]$ for both the RdC and RdP. The amount for eligible households cannot be lower than EUR 480/year.

The “Total household income” is the household income used for the calculation of the income component of the ISEE indicator (‘ISR’ – See Box 1) before any ISEE deductions (e.g. the deduction of 20% of earnings up to EUR 3000 – see Box 1 for details). The calculation of the benefit amount requires subtracting from the Total household income the disability allowance for those with maximum disability (‘Assegno di accompagnamento’) as well as any social assistance benefits that will be replaced by the RdC (e.g. the former ReI, ASDI and SIA benefits) and are still received while claiming the new RdC.

3.1.3. *Benefit duration*

18 months, renewable for other 12 months after a waiting period of 1 months (no waiting period for PdC).

TaxBEN note: As waiting periods are not simulated in TaxBEN, the calculations assume unlimited RdC duration as long as the other eligibility and income requirements hold.

3.1.4. *Means test*

- ISEE indicator below EUR 9360 (see Box 1);
- Total household income below the following value: EUR 6000*EQ (or EUR 7560*EQ for the PdC);
- Value of real estate properties, with the exclusion of the main home, below EUR 30000 at the value used as tax base for municipal tax IMU. This value is the first part of the ‘asset component’ of the ISEE (see Box 1).
- Annual average of the financial stock (the second part of the ‘asset component’ of the ISEE indicator) below EUR 6000. This value is increased of EUR 2,000 for each household member after the first one, up to a maximum of euro 10000. The EUR 10000 threshold is increased of EUR 1000 for each child after the second.

The 6000 and 10000 thresholds are increased of EUR 5000 if there is a household member with disability.

3.1.5. Tax treatment

RdC is not taxable.

3.1.6. Interaction with other components of the tax-benefit system

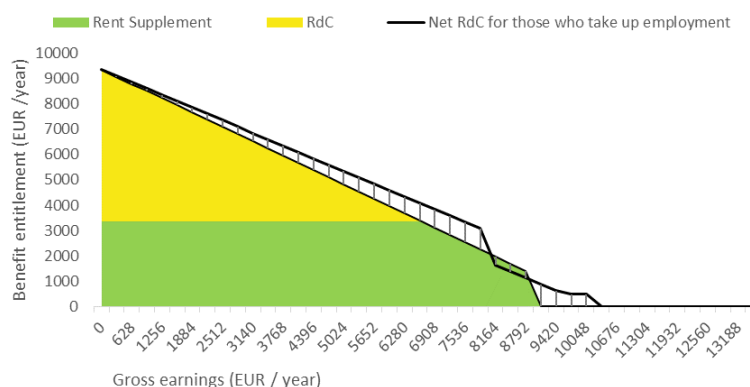
RdC is compatible with the receipt of unemployment benefits (NASPI) and any other benefit described in this report.

3.1.7. Combining benefit receipt and employment/starting a new job

The benefit is compatible with work activities. For those who take up employment there is an earnings disregard of 20% of the new employment income. The duration of the disregard applies from the first month after taking up employment until the end of the fiscal year plus 12 more months. For instance, if a single person receiving the maximum RdC amount takes up employment with a gross monthly wage of 400 EUR, the new monthly income considered for the calculation of the RdC entitlements would be 400×0.8 EUR, i.e. 320 EUR per month. Assuming no other changes in the employment status, this income amount will be considered until the end of the fiscal year plus 12 more months of the following fiscal year.

The law provides also a total exemption of social contributions, temporary limited, for the employer and employee in case the RdC recipient takes up full time and permanent employment.⁶ This exemption lasts for a period equal to the maximum duration of the RdC (18 months) minus the number of months of benefit receipt before taking up employment. The minimum duration of the exemption cannot be less than 5 months and cannot be higher than EUR 780 per month. Continuing with the example above, at the beginning of the new job the employee will save 9.2% of gross wage whereas the employer will save about 30% of gross wage.⁷

Figure 2: Social Assistance by earnings levels



Note: Results for a single person without children. The sharp reduction of the RdC benefit for those who take up employment for earnings above EUR 8146 is due to the effect of the Employee bonus (Section 6), which enters the means test of the RdC benefit.

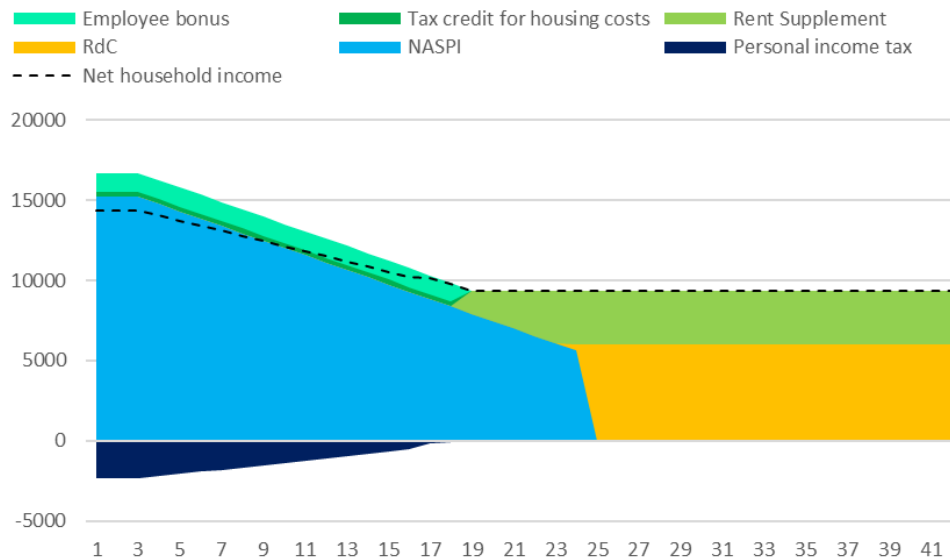
Source: [OECD tax-benefit model 2021](#).

⁶ Here the definition of ‘full time’ refers to the number of days worked during the year. A person working 30 hours a week continuously throughout the year is considered a ‘full time’ employee.

⁷ More information on the relationship between RdC and work is available here (in Italian): www.informazionefiscale.it/IMG/pdf/circolare_numero_43_del_20-03-2019.pdf

Figure 3. Net income support over the unemployment spell

Single person with a ‘long’ employment record before becoming unemployed



Note: Results for a 40-years-old single person without children and with 20 years of social security contributions before becoming unemployed. The previous annual earnings considered for the calculation of the unemployment insurance benefit (“NASPI”) are equal to EUR 31 399. Calculations of the housing benefits (rent supplement and tax credit for housing costs) assume a rent equal to 20% of the average wage. After 18 months of RdC receipt, TaxBEN assumes that the person claims again the benefit and is still eligible (the one-month waiting period between the two claims is not simulated in TaxBEN).

Source: [OECD tax-benefit model 2021](#).

3.2. Housing benefit (*Contributo per l'affitto*)

Variable name: **[HB]**

In Italy housing policies are for owners of the main residence - usually in the form of tax credits related to mortgage loan interests, rebates on property transfer taxes; low interest loans which are means-tested and regulated by local legislation, all in the case of first-time buyers - as well as for those who live in rental accommodations. Considering the TaxBEN scope, only housing policies for rental accommodations are considered in this report.

Housing assistance for rental accommodations can take different forms: tax credits; ii) rent subsidies for low-income households; iii) restrictions to rent increases; iv) controlled rents for State-owned dwellings. Only tax credits and rent subsidies for low-income households are within the scope of the OECD tax-benefit model. Restrictions to rent increases and controlled rents for State-owned dwellings are described in the annex.

Rent subsidies in Italy are conditional on the availability of funds. The central government allocates every year resources to the National Fund for Rental Support (*Fondo nazionale di sostegno alle locazioni*). These resources are then distributed across regions, which can also contribute with their own funds. Regions define the eligibility conditions, benefit amounts and duration. The fund is then distributed among municipalities in each region that manage its delivery. The 2018 budget law allocated EUR 10 million per year for the fiscal years 2019 and 2020. The government has not yet allocated the 2020 fund across the regions and therefore the local housing benefit

programmes have not started yet in many regions, including the reference one for the TaxBEN model (Lazio). As a result, no rent subsidies are modelled for 2021.⁸

In 2020, the main housing-related transfers for families living in rental accommodations are the means-tested tax (Section 8.1) and the housing supplement for social assistance recipients (Section 3.1)

Box 1. The ISEE Indicator

The Equivalent Economic Situation Indicator (*Indicatore della Situazione economica Equivalente* - ISEE) is calculated as follows:

$$\text{ISEE} = (\text{ISR} + 20\% \text{ ISP})/\text{EQ}$$

Where ISR ('Indicatore della Situazione Reddittuale') is the "Income Situation Index"; ISP ('Indicatore della Situazione Patrimoniale') is the Asset Situation Index, and EQ is the equivalence scale.

The Income Situation Index (ISR) is the sum of the household incomes (nearly any source, including incomes from financial assets and non-taxable incomes). These incomes enter the ISR *after* social security contribution payments but *before* income tax payments. Note: incomes from employment include Unemployment Insurance (UI) benefits. Similarly to other employment incomes, also UI benefits enter the ISR index net of the employee social security contributions and before income tax payments.

The final ISR indicator that enters the more general ISE indicator is the sum of all household gross incomes as defined above *minus* a series of 'deductions':

$$\text{ISR} = \max(0, \text{gross household incomes} - \text{deductions})$$

The main deductions are: a) Alimonies paid to a separate or divorced spouse; b) Health expenses for disabled relatives (up to EUR 5000); c) 20% of incomes from employment or similar/related sources, up to a EUR 3000; d) Alternative to (c), 20% of the income from non-taxable benefits or pensions, up to a EUR 1000; e) Annual rent for family living in rental accommodations, up to EUR 7000 (this amount is increased of 500 EUR for each child after the second); f) EUR 4000 EUR for each person with "average" disability (EUR 5500 EUR in case of disabled children); EUR 5500 EUR for each person with "severe" disability (EUR 7500 EUR in case of disabled children); EUR 7000 EUR for fully incapacitated persons (EUR 9500 EUR in case of disabled children). These allowances can be deducted up to the maximum limit of the value of the ISR (the ISR cannot be negative).

The Asset Situation Index (ISP) is the sum of the household wealth, which includes both movable and immovable properties, net of the respective deductions and allowances:

$$\text{ISP} = (\text{total wealth} - \text{credits}).$$

As wealth is assumed to be zero in the OECD tax-benefit model, the ISP is not described.

The indicator is equal to zero if the sum of $\text{ISR} + 20\% \text{ ISP}$ is negative.

The Equivalence Scale (EQ) is equal to the number of household members at the power of 0.65 for households with less than 6 members. For household with 6+ members the parameter is increased by 0.35 for each additional member. The following increases applies to the EQ rates:

⁸ Lazio region activated a new rent support but limited to three months of COVID-19 emergence.

a) 0.2 increase for households with 3 children, 0.35 for 4 children, 0.5 for at least 5 children; b) 0.2 for households with children below 18 years (0.3 if there is at least one child aged less than three) in which both parents or the only parent have worked for at least six months during the year; c) the increase described in letter b) applies also to households composed exclusively of one non-working parent with children below 18 years.

4. Family benefits

4.1. Family allowance (*Assegni al Nucleo Familiare*)

Variable name: **[FAMBEN]**

This is a contributory benefit, means-tested and not taxable.

4.1.1. Eligibility conditions

The family allowance scheme grants cash transfers to employees, unemployment benefit recipients, project workers, and former-employee pensioners. It does not cover households with self-employed and capital income over 30% share. The household definition includes the benefit claimant, his/her spouse, children if aged less than 18 or 21 when they are students (or 26 if living in households with at least 4 children), dependent grandchildren, brothers or sisters. Note that families without children are also eligible.

Eligibility to the benefit requires the household income to be made for at least 70 per cent by income from employment. As unemployment benefits in Italy are considered earnings from employment they are part of the 70% share. Household income include all incomes that are subject to the income tax minus the employee social security contributions, as well as incomes that are exempted from the income tax (with the exception of benefits for those with severe disabilities and other family-related benefits).

4.1.2. Benefit amount

Family allowances vary with: 1) household type; 2) the number of family members and 3) household income (see section 4.1.4). Benefit amounts and household income bands are adjusted yearly to the consumer price index. The Excel workbook available from [this link](#) (in Italian) provides the amounts applied between July 2020 and July 2021 (click on “Allegato 1” at the bottom of the webpage to download the Excel file). Worksheets are organized by family type as follows (only potentially-relevant worksheets are listed using the original Italian names translated in English):

- “Tab. 11”: Married couples with at least one minor and without household members with disabilities
- “Tab. 12”: Lone parents with at least one minor and without household members with disabilities
- “Tab. 14”: 2-adult families with at least one minor and one household member with disabilities.
- “Tab. 15”: 1-adult families with at least one minor and one household member with disabilities.
- “Tab. 21A”: Married couples without children and without disabilities
- “Tab. 21C”: Married couples without children and with at least one disable partner

In each worksheet benefit amounts vary by number of family members (columns) and by family taxable income (by rows).

Part-time employees may receive a lower benefit amount if they work less than 24 hours per week. However, in this case, amounts will depend on the effective days of work rather than the number of hours worked *per day*. For instance, if an employee works more than 24 hours during the week, the benefit is paid fully independently of the number of days worked during that week (the full amounts are those included in the Tables above). If the number of working hours is *less* than 24 per week, entitlements will depend on the number of days worked during that week: if the employee worked 3 days out of 6, the entitlements will be given by the corresponding value in the Tables above divided by 26 (i.e. the number of working days of the month) and multiplied by 3 (i.e. the number of effective days worked in this example). *However, if the weekly working hours are less than 24 but the employee works 6 days out of 6, s/he will receive the full benefit amount independently of the reported hours worked.*

4.1.3. *Benefit duration*

As long as the eligibility conditions hold.

4.1.4. *Means test*

The benefit is a step-wise decreasing function of household income (see Figure 3). The reference income is the taxable income (gross earnings minus employee social security contributions plus unemployment insurance benefits as applicable) plus any other non-taxable income component. To avoid a ‘circularity’ in the calculation of benefit entitlements, TaxBEN defines a precise sequence of benefit claims (see section 9). In the case of the family allowance the benefits considered in the means test are unemployment insurance (Section 2) and the fiscal bonus (section 8). All the other benefits are assumed to be zero.

4.1.5. *Tax treatment*

The benefit is not taxable.

4.1.6. *Interaction with other components of the tax-benefit system*

The benefit can be received together with other benefits as long as the family meets the eligibility criteria and passes the means test.

4.1.7. *Combining benefit receipt and employment/starting a new job*

Employment is a pre-requisite for benefit eligibility. Unemployed benefit recipients can also claim the benefits as they have the status of “former employees”. Starting of a new job does not affect eligibility but can have effects on entitlements.

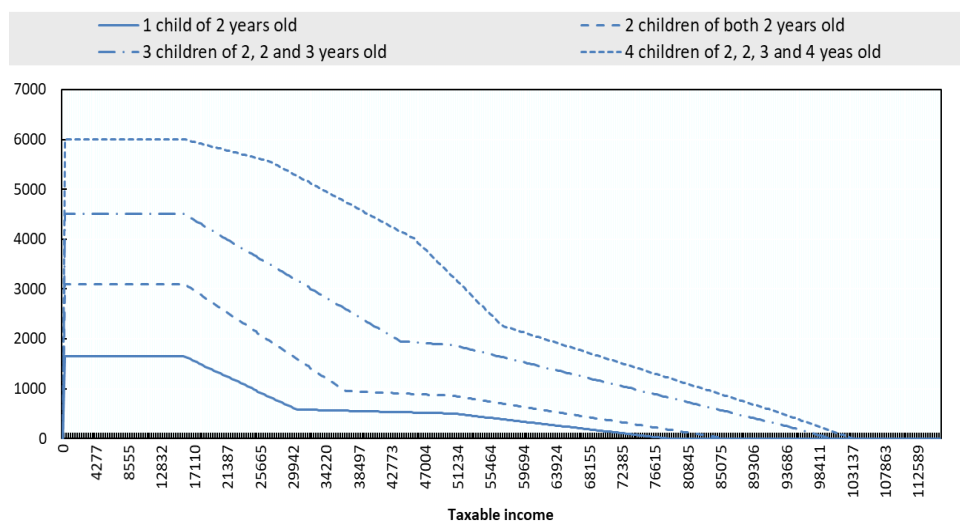
4.1.8. *Treatment of particular groups*

Both the income brackets and the amounts of allowances to dependent workers are modified whenever disabled people and/or lone parents are present within the family (see section 4.1.2)

4.1.9. *Combining benefit receipt and employment/starting a new job*

Employment doesn’t affect benefit receipt.

Figure 4. Amount of the family allowance by taxable income and number of children



Notes: Results for a 2-adult family. Points in the horizontal axis refer to different levels of taxable incomes of the 'first adult' member. The second adult member is economically inactive. Results assume that the first adult is working full-time (40 hours per week) / full-year (5 days per week throughout the year).

Source: [OECD tax-benefit model 2021](#).

4.2. Allowance for large families (*Assegno per famiglie numerose*)

This benefit is paid by the municipalities but then reimbursed by the National Social Security Institute (INPS).

Variable name: **[A3F]**

This is a non-contributory benefit, means-tested and not taxable.

4.2.1. *Eligibility conditions*

Eligible households must have at least three children younger than 18.

4.2.2. *Benefit amount*

The benefit amount in 2021 was EUR 145.14 per month. In 2015 only, families with more than 4 children received a second allowance of EUR 500 per month.

4.2.3. *Benefit duration*

13 months, renewable. The total amount is paid in two lumps at the end of the first semester and after the end of the second semester.

4.2.4. *Means test*

ISEE indicator below EUR 8788.99.

4.2.5. *Tax treatment*

Non-taxable.

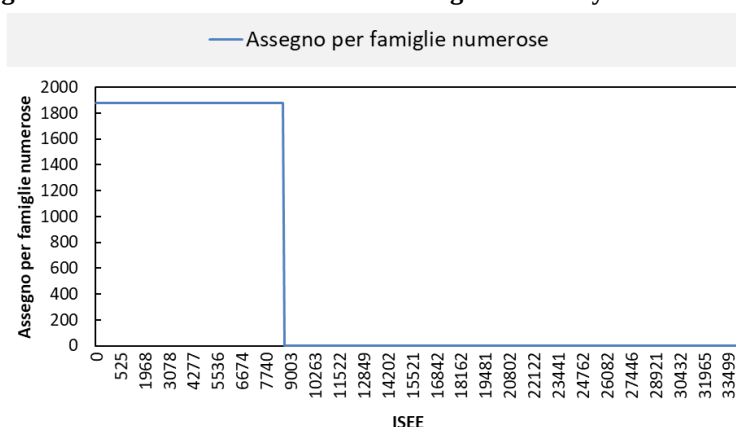
4.2.6. Interaction with other components of the tax-benefit system

The benefit cannot be combined with other maternity benefits.

4.2.7. Combining benefit receipt and employment/starting a new job

Employment does not affect benefit receipt.

Figure 5. Amount of the allowance for large families by ISEE amounts



Source: [OECD tax-benefit model 2021](#).

4.3. Natality allowance (Bonus bebé)

Variable name: `[bonus_bb]`

This is a non-contributory benefit, not taxable and means tested.

TaxBEN note: As a result of the policy change made in 2018 on the maximum benefit duration (see section 4.3.3), standard TaxBEN results for 2021 do not include this allowance as the minimum age of children in the TaxBEN model is 13 months.

4.3.1. Eligibility conditions

This benefit is paid to those families where there is a child born (or adopted) in the current year.

4.3.2. Benefit amount

As of the 1st of January 2021, the amount is EUR 160 per month for each eligible child (born or adopted) living in households with an ISEE indicator (Box 1) up to EUR 7000. The amount decreases to EUR 120 per month / child if the ISEE is between EUR 7 000 and EUR 40000, and to EUR 80 for families with ISEE above EUR 40 000.

In case of children born after the first one between 1 January 2021 and 31 December 2021, the amount of the allowance is increased by 20%.

4.3.3. Benefit duration

For children born between the 1st of January 2015 and 31st December 2017, the benefit was paid monthly until the 36th month of the new born. From the 1st of January 2018 the benefit is paid until the 12th month of the new born.

4.3.4. Means test

See Section 4.3.2.

4.3.5. Tax treatment

Non-taxable.

4.3.6. Interaction with other components of the tax-benefit system

The benefit can be received together with any other benefit, but is counted as income in the means tests for other benefits as relevant.

4.3.7. Combining benefit receipt and employment/starting a new job

Employment doesn't affect benefit receipt.

5. Childcare costs and benefits for pre-school children

Childcare provisions for children 0-3 years old are administered at the municipal level. They have a high degree of variability at national level, as well as at regional level and even for the same province or municipality. Below is reported the case of the **municipality of Rome**.

5.1. Gross childcare fees

Variable name: `[cc_cost]`

Gross childcare fees are set every year by the municipality of Rome and depend on two variables: the household income and the hours of childcare. The table below shows the monthly fee for full-time childcare (from 8:00 am to 18:00 pm) as a function of the ISEE indicator (Box 1). More information on childcare fees in Rome are available at [this link](#).

Table 1: Gross full-time childcare fees in Rome (school year 2021/2022)

ISEE			Gross fee (month)		
From	to		From	to	
0	5165	49.58			
5166	5682	55.15	23242	23758	274.69
5683	6198	60.73	23759	24274	280.54
6199	6714	66.31	24275	24790	286.73
6715	7231	71.58	24791	25307	292.93
7232	7747	77.16	25308	25823	299.13
7748	8263	82.74	25824	26340	304.98
8264	8780	88.61	26341	26856	311.18
8781	9297	93.58	26857	27373	317.37
9298	9813	99.16	27374	27889	323.23
9814	10330	104.74	27890	28406	329.41
10331	10846	122.2	28407	28922	335.61
10847	11363	128.39	28923	29439	341.46
11364	11879	134.59	29440	29955	347.66
11880	12395	140.44	29956	30471	353.86
12396	12912	146.64	30472	30988	396.25
12913	13428	152.83	30989	31504	402.69
13429	13945	158.68	31505	32021	409.5
13946	14461	164.88	32022	32537	416.32
14462	14978	171.08	32538	33054	422.76
14979	15494	177.28	33055	33570	429.58
15495	16011	183.13	33571	34087	436.4
16012	16527	189.33	34088	34603	442.84
16528	17044	195.51	34604	35120	449.66
17045	17560	201.36	35121	35636	456.49
17561	18076	207.56	35637	36152	463.29

18077	18593	213.76	36153	36669	469.73
18594	19109	219.61	36670	37185	476.55
19110	19626	225.81	37186	37702	483.38
19627	20142	232.01	37703	38218	489.82
20143	20659	238.19	38219	38735	496.64
20660	21175	244.05	38736	39251	503.46
21176	21692	250.24	39252	39768	509.9
21693	22208	256.44	39769	40284	516.71
22209	22725	262.29	40285	40801	523.53
22726	23241	268.49	40802	end	530.35

5.1.1. Discounts for part-time usage

Fees in Rome vary depending on the hours of childcare and the time of the day. Table 2 shows the coefficients used to convert the full-time childcare fees of Table 1 into part-time or over-time fees. To calculate the fee families multiply the coefficient below by the values in the table above.

OECD note: The last row of Table 2 shows how TaxBEN applies each coefficient depending on the hours of work per day of the first adult member.⁹

Table 2: Conversion coefficients for part time use of childcare

Daily hours	From 7:00 to 18:00	From 7:30 to 18:00	From 8:00 to 18:00	From 8:00 to 17:00	From 8:00 to 16:30	From 7:00 To 14:30	From 7:00 To 14:30	From 7:30 to 14:30	From 8:00 to 14:30	From 9:00 to 14:30
Hours of childcare	(11h)	(10h)	(9h30)	(9h)	(8h30)	(8h)	(7h30)	(7h)	(6h30)	(5h30)
Coefficient	1.240	1.184	1.057	1	0.944	0.902	0.867	0.809	0.754	0.638
Hours of work / day in TaxBEN*	9.1+	8.6-9.0	8.1-8.5	7.1-8.0	6.6-7.0	6.1-6.5	5.6-6.0	5.1-5.5	4.1-5.0	0.1-4.0

5.2. Childcare benefits

5.2.1. Fee discounts and free provision

Variable name: `[cc_subsidy]`

The municipality of Rome applies the following discounts:

- 30% rebate of the total fees if the family has two (or more) children attending the crèche.
- 30% rebate of the fees paid for the child attending the crèche if there are at least two children in the household who are in school age (i.e. above three years of age) and the ISEE indicator is between EUR 20 000 and 40 000. If the ISEE indicator is below EUR 20 000 the rebate reaches 100%, i.e. full exception for the child attending crèche. The same rule applies in case there are two (or more) children attending the crèche.

⁹ In case of couples, TaxBEN assumes that the second adult is working full time if the family is using childcare services. If one of the parent (or the only parent) is not working then TaxBEN assume that the child does not go to the crèche.

5.2.2. Child-care allowance for children using centre-based services

Variable name: `[cc_benefit]`

As of 2017, a national measure called “*Bonus nido*” is available for parents of young children who use non-parental childcare.¹⁰

Eligibility

Bonus nido is available for parents with children under three years born or adopted from 1 January 2016 onwards. Children must be registered in a public or accredited private crèche.

Benefit amount

The maximum benefit amount is EUR 3000 per year *for each child* attending the playschool. The benefit can be paid in 11 or 10 instalments. Benefit entitlements cannot exceed the effective costs paid by parents to the playschool.

Benefit duration

The maximum duration is three years.

Means test

The benefit is means tested using the ISEE indicator (Box 1).

ISEE (EUR / year)	Maximum benefit
0 – 25 000	3000
25001 – 40 000	2500
40 001+	1500

Tax treatment

Non-taxable

Interaction with other benefits

The benefit cannot be cumulated with the tax rebate for childcare expenses described in Section 8. While the benefit can be cumulated with other natality-related benefits such as the “*bonus bébé*”, it cannot be cumulated with maternity and parental leave benefits. The bonus can be cumulated with the “*Voucher asilo nido and baby-sitting*” (see Annex) as long as the two benefits are used to cover childcare costs in different months.

5.2.3. Child care allowance for children NOT using child care centres

None.

5.2.4. Tax concessions for childcare expenditures

Families can benefit from a particular tax concession for expenditures in child care centres, see section 8.1 for details.

¹⁰ “*Bonus nido*” is available also for parents of young children with serious illnesses or disabilities who are unable to go to the crèche and need treatment at home.

6. In-work benefits

Variable name: [\[IW\]](#)

6.1. Employee bonus (*Bonus dipendenti – ex ‘Bonus 80 Euro’*)

In Italy, since 2014 there is an ‘employee bonus’ for employees with a positive tax liability net of the income-related tax credit (see Section 8.1.4). The bonus was reformed several times. The last reform was in July 2020. This section describes the rules that apply on the policy reference date of this report (1st January 2021).

For those with a taxable income (“*reddito complessivo*”) between EUR 8 146 and EUR 28 000, the employee bonus takes the form of a fixed allowance of 100 EUR per month (1200 per year), exempted from taxes and social contribution payments.

For taxable incomes above EUR 28 000, the bonus becomes a tax credit with a stepwise phase out: between EUR 28 000 and EUR 35 000, the monthly tax credit decreases linearly from EUR 100 to 80. After EUR 35 000, the tax credit decreases linearly towards zero for those with a global income up to EUR 40 000.

Taxable income (EUR)	Employee bonus (EUR/year) as of 1 st January 2021
Up to 8 145	0
From 8 146 to 28 000	1200
From 28 000 to 35 000	Tax credit: $960 + 240 \cdot (35\,000 - \text{taxable income}) / 7\,000$
From 35 000 to 40 000	Tax credit: $960 \cdot (40\,000 - \text{taxable income}) / 5\,000$
More than 40 000	0

In line with the income-related tax credits described in Section 8.1.4, the employee bonus does not depend on whether the employee works less than 40 hours per week. However, for those who work only part of the year (i.e. less than 52 weeks), the bonus is adjusted by multiplying the amount outlined in the table above (‘EB’) by $NW/365$, where NW is the number of actual days worked during the fiscal year: Final bonus = $EB \cdot NW / 365$.

The exclusion of those with a taxable income below EUR 8 146 (“*incapienti*”, in Italian), has been confirmed by the last reform of the Employee bonus in July 2020: only tax-payers with a positive income tax liability net of the income-related tax credit (see Section 8.1.4) can receive the bonus.

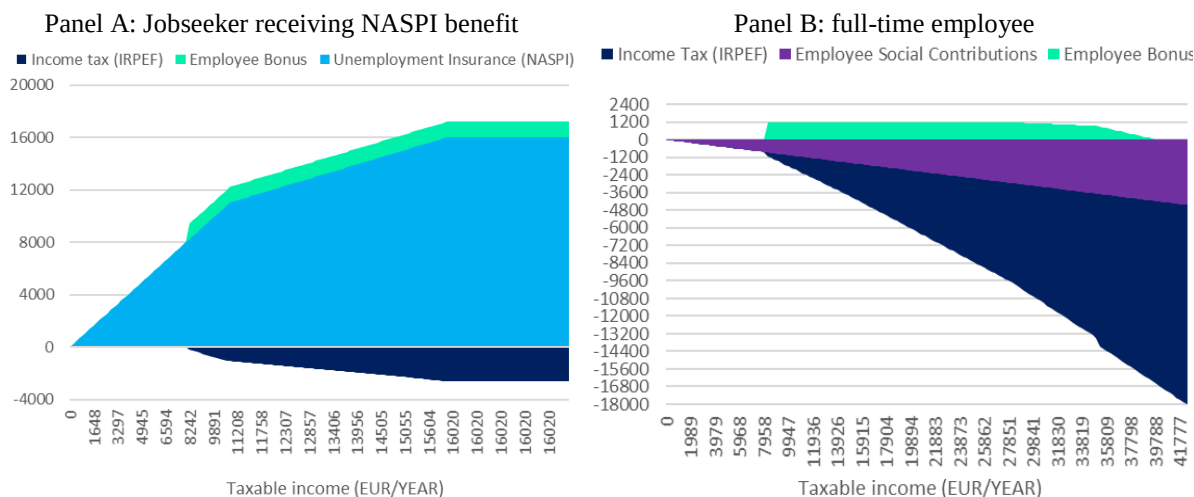
In response to the COVID crises, INPS Circular 96/2020 allows the payment of the Employee bonus also to those with a taxable income below EUR 8 146 if they took a COVID leave during the lockdown or received the following wage subsidies as a consequence of the COVID 19 pandemic: CIGO, ASO and CIGD.¹¹

OECD note: According to the Italian policy rules, jobseekers receiving NASPI (section 2.1) are not eligible for the Employee bonus if their taxable income is below EUR 8146, unless they took a COVID leave during the lockdown or received the wage

¹¹ According to the Italian law, jobseekers receiving NASPI are not eligible for the Employee bonus if their taxable income is below EUR 8 146 unless they took a COVID leave during the lockdown or received the following wage supplements: CIGO, ASO and CIGD. Because none of these options is available in the TaxBEN framework, low-paid employees who lost their job may not receive the employee bonus (see also figure 6).

compensations such as CIGO, ASO or CIGD. Because none of these options is available in the TaxBEN modelling framework, jobseekers do not receive the Employee bonus when their taxable income is below EUR 8146 (see also figure 6).

Figure 6. Tax liabilities and benefit entitlements by taxable income



Notes for panel A: calculations for a 40-years-old person without children with 20 years of social security contributions before becoming unemployed, two months of NASPI receipt (Section 2.1) and not claiming Social Assistance benefits (Section 3.1).

Notes for panel B: calculations for a 40-years-old person without children, working full time and not claiming Social Assistance benefits (Section 3.1).

Source: [OECD tax-benefit model 2021](#).

7. Social security contributions and payroll taxes

7.1. Employee social security contributions (*Contributi Sociali a carico del lavoratore*)

Variable names: `[SOCSEC_p; SOCSEC_s; SSCR_p; SSCR_s]`

7.1.1. Rates and ceilings

- For earnings up to EUR 47 379, the average rate is 9.19% (9.49% if burdened with CIG tax rate). The OECD tax-benefit model uses the 9.49% rate.
- For earnings for earnings above EUR 47 379 and up to EUR 103 055, the average contribution rate is 10.49%
- For earnings exceeding EUR 103 055, the employee pays a fixed amount given by $(0.0949 \times 47\,379) + 0.1019 \times (103\,055 - 47\,379)$ if the employee started working after 1996. There is no ceiling for those who started working before 1997.

TaxBEN note: the model assumes a continuous employment record without interruptions since the age of 19. This means that in 2021, the employee who started working in 1997 has the following years of social security contributions: 2021–1997, and the following age: 2021–1997+19. TaxBEN uses this latter age threshold to identify the social security contribution regime (i.e. whether to apply the ceilings).

7.1.2. *Treatment of particular groups, e.g. youth, women, disabled, older workers*

None.

7.2. **Employer social security contributions** (*Contributi Sociali a carico del datore di lavoro*)

7.2.1. *Rates and ceilings*

- The contribution rate is 31.58%.
- For employees who started working after 1996, the employer pays a fixed amount given by EUR 0.3158 x 103 055 for earnings above EUR 103 055. For employees who started working before 1997 there are no ceilings in the employer social security contributions.

TaxBEN note: the TaxBEN note of Section 7.1 applies also to the employer social security contributions.

Since 2015, Italy provides a series of exemptions in the employer social security contributions for selected population groups. These exemptions are outside the scope of the TaxBEN model and are described in the annex. Updated information on the current exemptions is available here: www.incentivi.gov.it/index.php/gli-incentivi (in Italian).

8. Taxes

Employment income is subject to an individual progressive income tax. The taxation period is the calendar year.

8.1. **Personal income tax** (*Imposta sui Redditi delle Persone Fisiche, IRPEF*)

Variable name: `[IT_p; IT_s]`

8.1.1. *Tax base*

Tax base is calculated as the sum of the following incomes: Employment income, business income, self-employment income, real estate income, investment income, capital gains. Income from unemployment insurance is considered employment income and is therefore part of the tax base. Family benefits, housing benefits and other non-contributory benefits are exempted from the income tax.

8.1.2. *Tax allowances*

The main deductions from the gross income are: 1) employee's social security contributions; 2) Voluntary contributions paid to complementary pension funds up to EUR 5 164.57; 3) Voluntary contributions paid to mandatory pension schemes; 4) social security contributions paid for domestic workers (up to EUR 1 549.37); 5) Medical expenses for disabled individuals; 6) alimony paid to a separate or divorced spouse; 7) Contributions to certain religious entities (up to EUR 1 032.91).

8.1.3. Income tax schedule

The following tax schedule is applied to taxable income:

Bracket (EUR)	Rate (%)
up to 15 000	23
over 15 000 up to 28 000	27
over 28 000 up to 55 000	38
over 55 000 up to 75 000	41
over 75 000	43

8.1.4. Tax credits

Tax payers in Italy can deduct from gross tax liability three main types of tax credits: 1) Income-related tax credits; 2) family tax credits; 3) Other tax credits.

Italian IRPEF has no negative income tax, so if total tax credits are greater than gross tax liability there is “incapienza” (i.e. not enjoyed tax credit, for about EUR 7 billions).

1. Income-related tax credits

Taxable income (EUR)	Income-related tax credit (EUR)
Up to 8000	1880
From 8001 to 28000	$978 + 902 \cdot (28000 - \text{taxable income}) / 20000$
From 28001 to 55000	$978 \cdot (55000 - \text{taxable income}) / 27000$
More than 55000	0

The income-related tax credits do not depend on whether the employee works full time or part time in terms of working hours. However, for those who have worked only part of the year, the tax credit is reduced by multiplying the amount above (TC) by NW/365, where NW is the number of actual working days during the fiscal year: Final tax credit = $TC \cdot NW / 365$. The tax credit cannot be lower than EUR 690 (EUR 1380 for temporary contracts).

Incomes from other sources, notably from self-employment and old-age pensions, are subject to different income-related tax credits.

2. Family tax credits

Family tax credits are granted to taxpayers with a dependant spouse, children, and other relatives living with the taxpayer, provided that each dependant’s annual taxable income does not exceed EUR 4000 for children until 23 years old, 2,840.51 in the other cases.

Family tax credits are rated monthly and are applied as of the month in which the conditions verify and up to the month in which conditions stop. The family tax credit varies according to the type of dependant:

Family tax credits (EUR)*	Amount (EUR)
<u>Dependent children</u>	
Under three years of age	$1220 \cdot (95\,000 - \text{taxable income}) / 95\,000$
Over three years of age	$950 \cdot (95\,000 - \text{taxable income}) / 95\,000$
<u>Other dependent relatives</u>	$750 \cdot (80\,000 - \text{taxable income}) / 80\,000$

Family tax credits (EUR)*	Amount (EUR)
<u>Dependent spouse</u>	
Up to 15 000	$800 - 110 * \text{taxable income} / 15\,000$
From 15 001 to 29 000	690
From 29 001 to 29 200	700
From 29 201 to 34 700	710
From 34 701 to 35 000	720
From 35 001 to 35 100	710
From 35 101 to 35 200	700
From 35 201 to 40 000	690
From 40 001 to 80 000	$690 * (80\,000 - \text{taxable income}) / 40\,000$
More than 80 000	0

The child tax credit takes into account also the number of children:

- For families with more than one child the amount of 95 000 in the child tax credit is increased by 15 000 for each child beyond the first (so it is 95 000 for one child, 110 000 for 2 children, etc.)
- For families with more than 3 children the basic tax credit amounts (i.e. EUR 950 and 1220) are increased by EUR 200 for each child from the first one. For instance, for two children under the age of 3 the basic amount becomes $(950+200)*2$, and if one of the two is under three years of age, the total amount becomes $(950+200) + (1220+200)$. For each disable child the basic credit for children is increased by € 400.

For two-earner couples, the tax credits for dependent children have to be equally shared between the parents. However, if the spouse's tax liability after the income-related tax credit is less than his/her share (i.e. 50 per cent) of the child tax credit, the entire child tax credit is allocated to the other partner.

A lone parent receives a tax credit which is equal to the maximum of the spouse tax credit and the child tax credit.

It is useful to note that family-related tax credits “actually enjoyed” are quite lower than those “receivable” here described. It is estimated¹² that family-related family tax credit are worth about 14 billion of EUR, while those actually enjoyed are almost 11 billion, with first quintile of people losing 50% of due benefit for “incapienza”.

Figure 7 shows the amounts of the family-related and income-related tax credits as well as the employee ‘fiscal’ bonus (Section 6) as a function of the taxable income.

3. Other tax credits

Selected expenses entitle the taxpayer to a number of other tax credits whose rate is generally 19% of the total expense. These expenses include mortgage interest, medical expenses, education-related expenses; university-related expenses rent-related expenses, childcare costs, life and accident insurance and sporting association's fees. Below are described the tax credits that are relevant for the TaxBEN model:

- **Tax credit for rented accommodations:** The Italian tax system provides a tax relief to households in rental accommodations. The amount depends on the household's gross taxable income. Two income thresholds are used: EUR 15493.71 (y1) and EUR 30987.41 (y2). The tax credit is equal to EUR 300 if income is lower than y1 and EUR 150 if income is between y1 and y2; no credit is provided if

¹² INPS tax benefit microsimulation model.

income is greater than y_2 .¹³ This tax credit is refundable as long as the claimant's gross income tax liability less the income and family -related tax credits is positive; otherwise the tax credit is zero nil Only the family member who signed off the rent contract can claim the tax credit.

OECD note: For two-earner couples, TaxBEN assumes that the person claiming the tax credit is always the adult with the lowest (positive) taxable income as this maximises the amount of the tax credit received by the family (considering that the tax credit is higher for lower earnings). TaxBEN classifies this tax credit as a housing benefit. Variable name: **[HOUSCDT]**.

- **Tax credit for large families:** as of 2007, a tax credit of EUR 1200 is granted to families with at least four children. This tax credit is refundable provided that the 'gross' income tax (i.e. the income tax calculated before the standard tax credits) is positive. More specifically, the Italian law grants a fiscal credit (payable at the end of the year) whenever the tax credit for large families exceeds the gross income tax reduced by the 'standard' tax credits as well as the tax credits provided by other law provisions (not included in the TaxBEN model). This fiscal credit is equal to the part of the tax credit for large families that cannot be offset by the gross income tax reduced by the above-mentioned tax credits.

Two-earner couples receive 50% each of the tax credit for large families. When there is a 'dependent spouse', i.e. when the taxable income of the spouse is below EUR 2 840.51 per year, the tax credit is assigned entirely to the other partner.

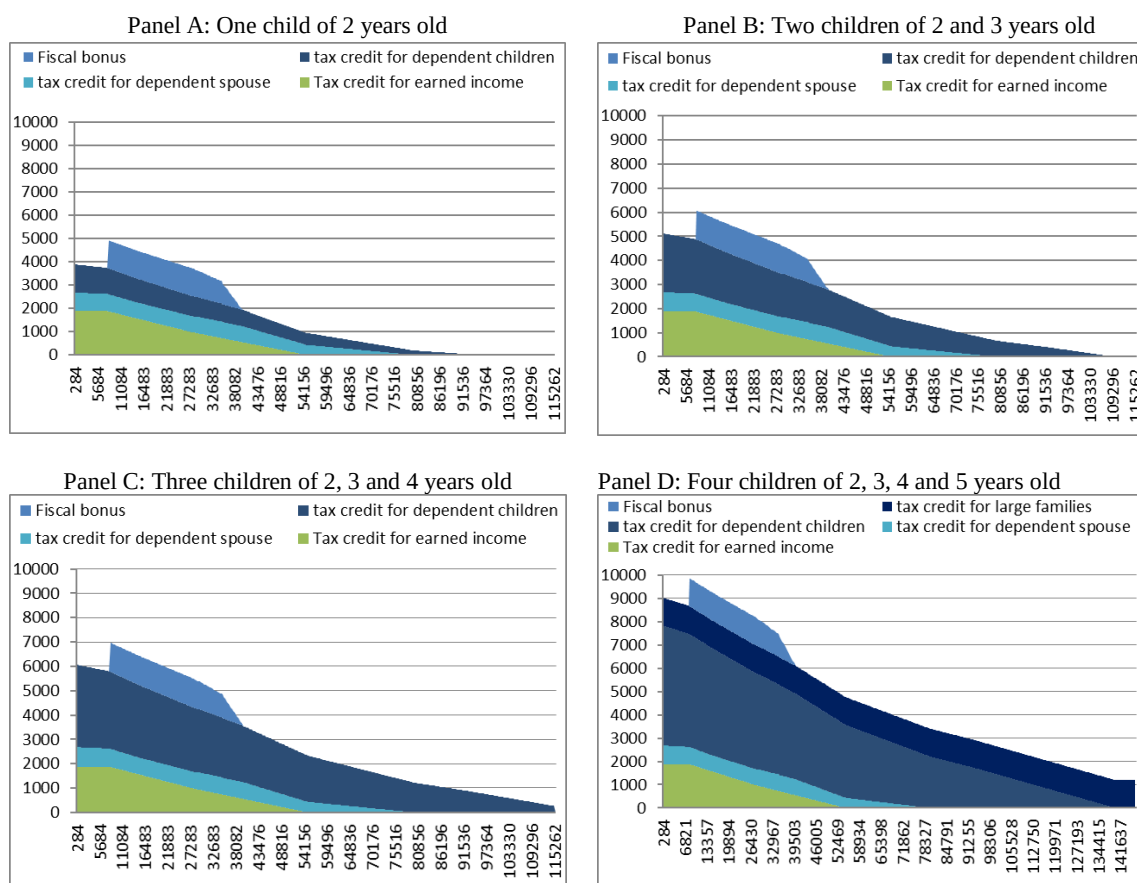
OECD note: In practice, the tax credit for large families is a transfer for working families with more than three children (see also Figure 6). For this reason, the TaxBEN model classifies this tax credit as a family benefit (Section 4) and includes it in the macro variable **[FB]**. The specific variable name is **[bonus_BF]**.

- **Tax credit for child care expense:** the tax credit is 19% of the child-care related expenses. The maximum expense that can be declared for this tax concession is EUR 632 per child. This means that a household can receive a tax rebate of maximum EUR 120.08 per child. This tax credit is non-refundable.

OECD note: TaxBEN classifies this tax credit as a part of the income tax and includes it in the macro variable **[IT]**. Variable name: **[NCCTC]**.

¹³ A higher tax credit is granted to: (a) households with social-rent contracts (*contratti convenzionati*); (b) people aged between 20 and 30, but only for the first three years of residence; (c) employees who move to a different place because of work, again only for the first three years of residence. In these three cases, if the household gross taxable income is lower than y_1 , then the tax credit is equal to EUR 495.80 for case (a) and EUR 991.60 for cases (b) and (c). If the household gross taxable income is between y_1 and y_2 the tax credit is equal to EUR 247.90 for case (1) and EUR 495.84 for cases (b) and (c). A tax credit of 19% of the rent is also granted to university students who study away from their hometown as long as the rent is no higher than EUR 2,633. The TaxBEN model does not simulate cases a), b) and c) as well as the tax credit for university students

Figure 7. Tax credit amounts by taxable income and type of tax credit



Source: [OECD tax-benefit model 2021](#).

8.1.5. Regional surcharge tax

This surcharge tax is levied by each region on resident taxpayers' total taxable income at a discretionary rate, which must fall within an established range. The regional surcharge tax is not due if the net personal income tax (IRPEF) is null. The OECD Tax and Benefits model calculates the regional surcharge tax paid in **Lazio**; in 2021 a progressive tax schedule is applied to taxable income:

Bracket (EUR)	Rate (%)
up to 15 000	1,73
over 15 000 up to 28 000	2,73
over 28 000 up to 55 000	2,93
over 55 000 up to 75 000	3,23
over 75 000	3,33

However, if the taxable income is below the threshold of EUR 35 000 the rate applicable to the total amount of taxable income is 1.73%. This rates applies also if the taxable income is below EUR 500000 and there are at least three dependent children living with the tax payers. The income threshold is increased of EUR 5000 for each child beyond the third one.

8.1.6. Local surcharge tax

This surcharge is levied by each municipality at a standard rate of 0.2 per cent. Municipalities can increase the rate up to 0.8 (0.9 in the Capital - Rome). The municipal surcharge tax is not due if the net personal income tax (IRPEF) is null. The OECD Tax

and Benefits model simulates the local surcharge tax paid in Rome; the rate is 0.9 per cent in 2021.

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Italy 2021 (Figure 8). TaxBEN by default produces the following output: 1) net household incomes (**black lines**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (e.g. a lone parent working at different earnings levels with two children aged 4 and 6 respectively – users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). Figure 7 shows outputs for four scenarios:

- By percentage of the average wage (**Panel A**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);
- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);
- By previous employment record, for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas shows the household income components. Note that each component can contain more than one benefit. The table of content of this report describes which benefit is included in each category.

Results in Figure 7 refer to a couple with two children. Adults are both 40 years old whereas children are 4 and 6 years old respectively. Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one of the two adult members (the ‘second adult’, using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (so-called ‘first adult’) is employed full-time and full-year at different earnings levels ranging between 0 and 200% of the Average Wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits but claiming social assistance, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x axis in Panel B measures the time of benefit receipt, starting from the first month. The x axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt whereas Panel D consider the case of previous earnings equal to the average Wage. Previous earnings in Panel B are also equal to the average wage.

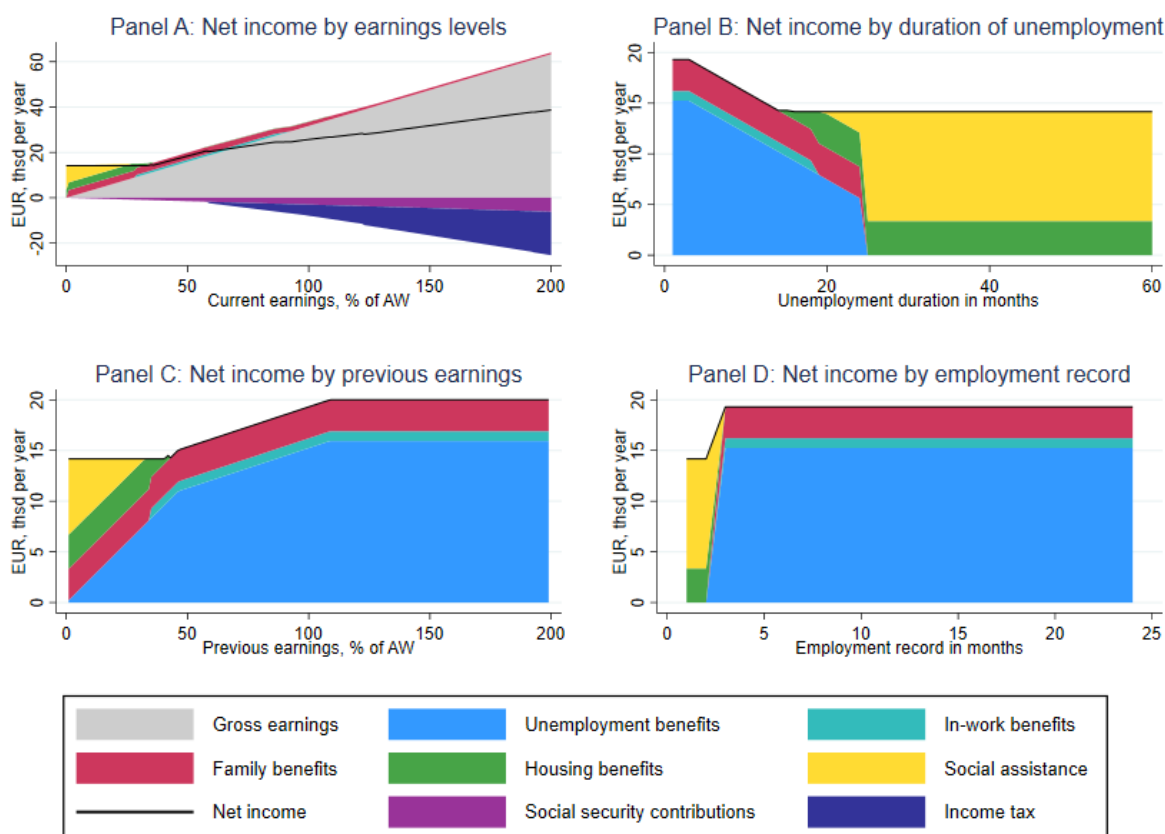
The ISEE indicator, when relevant, takes into account the main ISEE deductions for earned income and rented accommodation, as well as the relevant supplements in the equivalence scale (see Box 1). The ISEE indicator is calculated assuming private market

rent plus other relevant charges amounting to 20% of the full-time wage in all the four scenarios.

TaxBEN assumes the following logical sequence of benefit claims: a) Unemployment Insurance (Section 2), b) Employee Bonus (section 6), c) Family allowance (section 4.1), d) Allowance for large families (section 4.2), e) Natality allowance (section 4.3), f) Childcare benefit (section 5), g) Social Assistance (section 3). This implies that, e.g. the means test of the allowance for large families assumes that the natality allowance, childcare benefit and social assistance are all equal to zero.

Figure 8. Selected output from the OECD tax-benefit model

Couple with two children



Source: [OECD tax-benefit model 2021](#).

Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Italy that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Wage supplementation funds (Cassa Integrazione Guadagni, CIG)

This is a contributory benefit, not means tested and taxable.

Eligibility conditions

‘Ordinary’ CIG (CIGo) is an income support programme for workers hired with an employment contract. To be eligible for CIGo the employer must be in one of the following circumstances:

- lack of orders / market crisis;
- end of construction site, end of work, end of work phase, variation and supplementary report to the project;
- lack of raw materials or components;
- weather events;
- strike by a department or other enterprise;
- fires, floods, earthquakes, collapses, lack of electricity, impracticability of the premises, also by order of the public authority - suspension or reduction of the activity by order of the public authority for reasons not attributable to the company or workers;
- machinery breakdowns - extraordinary maintenance.

Benefit amount

CIGo is 80 per cent of the average gross earnings paid for non-worked hours. The amount of the ordinary CIG cannot exceed the maximum monthly amounts, established by means of a specific regulation. The maximum amounts for 2021 are:

- EUR 998.18 (gross amount) when the reference monthly salary for the calculation of the treatment, including additional monthly accruals, is equal to or less than € 2,159.48;
- EUR 1,199.72 euro (gross amount) when the reference monthly remuneration for the calculation of the treatment, including additional monthly accruals, is greater than € 2,159.48

With effect from 1 January of each year, the monthly amounts of the treatment as well as the monthly reference remuneration referred above are increased by 100% of the increase deriving from the annual variation of the ISTAT consumption price index for the families of workers and employees.

Benefit duration

CIGo is paid for 13 weeks, but it is possible to obtain some prorogation if the firm remains in a reduction of activity for a longer period. In any case, CIGo cannot be paid for more than 12 months, whether consecutive or non-consecutive, over a period of two years.

CIGs ('special' CIG) is normally paid for 12 up to 24 months (the length depending on the type of difficulties that the firm faces as well as on the restructuring strategy). It is possible to obtain a prorogation if restructuring lasts more than 24 months. In any case, CIGs cannot be paid for more than 24 months over 5 years.

CIGo with specific Covid-19 reason is financed and extended in duration, for a maximum duration of up to 18 weeks (compared to 9 in the 'Cura Italia' decree), of which 14 available in the periods from February 23 to August 31, 2020 and 4 weeks that can be used in the period from 1 September to 31 October 2020.

Means test

CIG is not income or asset tested.

Tax treatment

CIG amounts are included in the personal income tax base and are subject to social security contribution payments.

Interaction with other components of the tax-benefit system

CIG can be received together with any other benefits, including the RdC (Section 3) and all the family benefits listed in Section 4. However, CIG amounts are counted as income in the means tests of other benefits.

Combining benefit receipt and employment/starting a new job

Workers receiving CIG (any type) who take up employment lose eligibility for the CIG.

Workers receiving CIGs are eligible for 'Socially Useful Jobs' (*Lavori Socialmente Utili, LSU*), usually lasting 12 months (albeit prorogation for other 12 months is possible). If employed in LSU, workers receiving CIGs maintain their benefit until it elapses. Afterwards, if they are still employed in LSU, they will receive a benefit of EUR 578,98 per month, which is the amount paid for LSU if the workers involved are not receiving any other benefit. For the year 2021 the amount is EUR 592.97 per month (details [here](#)). Workers on CIGs are not the only ones eligible for LSU. Unemployed workers with an unemployment spell of at least two years which usually do not receive any income support are also eligible.

Sickness Benefit

This is a contributory benefit, not means tested and taxable.

Eligibility conditions

To be eligible for the sickness allowance, the worker must obtain the sickness certificate from the attending physician who will transmit it electronically to INPS. Generally, there is no specific requirement related to the employment or social security contribution record. There is no benefit for reduced working time because of sickness.

The following categories of workers are eligible for the sickness benefit: industrial sector workers; employees in the tertiary sector and services; agriculture workers; apprentices; unemployed; workers suspended from work; show business workers, and maritime workers. Self-employed are not covered under this scheme.

Benefit amount

For employees: from 4th to 20th day of illness: 50% of the average daily wages. From the 21st to 180th days: 66.66% of the average daily wages.

For jobseekers and workers on suspended/reduced-hours work, the sickness allowance is reduced to 2/3.

There are no minimum or maximum amounts.

Benefit duration

The entitlement to sickness allowance starts (beginning of illness) from the 4th day of illness. The first three days are unpaid but, if provided by the employment contract, they can be paid by the company. Sickness allowance ceases with the expiry of the prognosis (end of illness). The disease can be certified with one or more certificates.

Means test

The benefit is not means tested.

Tax treatment

Sickness amounts are included in the personal income tax base. Benefit payments are not subject to social security contribution payments.

Interaction with other components of the tax-benefit system

Cumulation is possible only with certain social security benefits. However, the sickness benefit is counted as income in the means tests of these benefits.

The unemployment benefit (Section 2) and sickness benefit cannot be cumulated. The unemployment benefit is suspended while the beneficiary is in receipt of the sickness benefit to be retrieved after the end of the sickness benefit entitlement and granted for the remaining period.

The sickness benefit can be received together with the RdC in case the RdC recipient works and becomes sick.

The sickness allowance is compatible with the family benefits listed in Section 4.

Eligibility to the sickness allowance does not prevent eligibility to the fiscal bonus (Section 6).

Combining benefit receipt and employment/starting a new job

The sick worker cannot work when receiving the sickness benefit.

Baby sitter or nursery voucher (voucher baby sitter o asili nido)

Within the 11 months following the return after compulsory maternity leave, alternatively and in renunciation of the parental leave, mothers can use the baby sitter or nursery voucher to pay the costs of a baby sitter or a nursery school. The amount is maximum EUR 600 per month for six months in case of employees (three months in case of self-employed or entrepreneurs mothers). The contribution is paid directly to the school chosen by the mother. This measure was introduced experimentally for the years 2013-2015. The Budget Laws for 2016 and 2017 refinanced the vouchers until 2018. The Budget Law for 2019 has not refinanced the vouchers, but has introduced the Family Card (see below).

Maternity allowances (*Assegno di maternità*)

There are two types of maternity allowances: the “State maternity allowance” (*Assegno di maternità dello Stato*) and the “Municipality maternity allowance” (*Assegno di maternità del comune*), which is paid by the municipalities but then reimbursed by the National Social Security Institute (*Istituto Nazionale per la Previdenza Sociale*, INPS). The main difference between the two allowances is about the eligibility conditions whereas benefit amounts and durations are the same. The two benefits cannot be cumulated.

The State maternity allowance is a contributory benefit, means-tested and not taxable. The Municipality maternity allowance is a non-contributory benefit, means-tested and not taxable. Eligibility conditions: The *State* maternity allowance can be claimed by pregnant *employed* women who have paid at least 3 months of maternity contributions in the period from 18 to 9 months before childbirth. The benefit can be claimed also by women who meet the contribution requirements above but have lost their job while they were pregnant. For project (“atypical”) workers the 3 months of maternity contributions must be paid 12 months before the beginning of the compulsory ordinary maternity leave period.

The *Municipality* maternity allowance is targeted to pregnant unemployed or economically inactive mothers who do not meet the eligibility requirements for the State maternity allowance. Both benefits are paid after the childbirth during the first year of the new born. The amount in 2021 was EUR 348.16 per month, paid for five months. Means test: for both the allowances the ISEE indicator must be below EUR 17416.66. Both benefits can be combined with other maternity benefits including the “bonus bebé”. However, recipients of parental leave benefits cannot receive any maternity allowances.

Bonus at birth (*Premio alla nascita / bonus “mamma domani”*)

This benefit is paid by the National Social Security Institute (INPS). This is a non-contributory benefit, not means-tested and not taxable. This benefit is aimed at mothers who meet any one of the following requirements from 1 January 2017: seventh month of pregnancy; childbirth, even before the beginning of the eighth month of pregnancy, national or international adoption of the child; national pre-adoptive assignment of a child. The benefit amount is EUR 800, paid in a single solution at childbirth. The benefit can be received together with other benefits, but is counted as income in the means tests for other benefits as relevant. Employment doesn’t affect benefit receipt.

The Budget Law 2021 has confirmed this measure. for each child born or adopted from 1 January 2021 to 31 December 2021. The new amounts are the following:

- EUR 1920/ year (160 / month) for families with ISEE up to EUR 7000,
- EUR 1440 euros / year (120 / month) for families with ISEE between EUR 7000 and 40000;
- EUR 960 / year (80 / month) for families with ISEE above EUR 40000,

For children following the first, the amount increases by 20 percent.

Starting from 2020, a new contribution is introduced for milk substitutes’ purchases for women unable to practice natural breastfeeding. The amount is up to the maximum amount of 400 euros per child.

Family card

The family card is operative since January 2019 and it has been confirmed also for 2021. Only families with at least three children under 18 and an ISEE indicator (Box 1) below EUR 30.000 can claim the card. Cardholders do not receive any direct financial support with the card but are entitled to discounts on purchases of basic goods as well as tariff reductions.

Following the emergency linked to COVID-19, the Family Card is issued also to families with a single dependent child aged no more than 26 for the year 2020.

Emergency income (Reddito di emergenza - REM)

Entitlement and eligibility conditions

The Emergency Income is designed to provide a monetary subsidy to families affected by the crisis induced by the Covid-19 that do not fall within the scope of the other forms of support. The beneficiary of the benefit is not the individual applicant but the entire household.

1.1.1. Benefit amounts

The monthly amount of the EMN is determined by multiplying the value of the equivalence scale by EUR 400.

The value of the equivalence scale, equal to 1 for the first household member, is increased by:

- 0.4 for each additional member over 18 years of age;
- 0.2 for each additional minor member of the household, up to a maximum of 2, or up to a maximum of 2.1 if there are members of the household with severe disability or non-self-sufficiency as defined for ISEE purposes.

The amount of the economic benefit may in any case not exceed 800 euros per month, which can be raised to 840 euros only in the presence of severely disabled or non-self-sufficient members and in the cases described below.

1.1.2. Benefit duration

The emergency income will be paid for 2 months. For applications submitted by 31 May the monthly payments will be May and June, if the application is submitted in June, the monthly payments due will be June and July.

The extension of four monthly REM payments is envisaged for June, July, August and September 2021; the application must be submitted to INPS by 31 July 2021

1.1.3. Means test

- ISEE indicator below EUR15000;
- Value of real estate properties (referring to 2019) of less than EUR 10000, to which 5000 thousand euros should be added for each member in addition to the applicant (up to a maximum of EUR 20000)
- Household income in April 2020 lower than the amount due monthly with the REM.

1.1.4. Tax treatment

REM is not taxable

1.1.5. Interactions with other components of the tax-benefit system

The REM cannot be cumulated with the income of citizenship nor with any of the income support measures provided for in the March and May decrees.

Employer social security contribution exemptions

- “*Bonus for women*”: 50% rebate for a period of 18 months when upon hiring women who have been out of work for more than 24 months (six months if the firm operates in disadvantaged areas). The full subsidy can be claimed for new open-ended contracts or for conversions of short-term contracts into open-ended ones. Hiring with short-term contracts is also subsidised, but only for 12 months.
- “*Bonus for workers 50+*”: 50% rebate for a period of 18 months when upon hiring a person of 50+ years old who has been out of work for more than 12 months. The full subsidy can be claimed for new open-ended contracts or for conversions of short-term contracts into open-ended ones. Hiring with short-term contracts is also subsidised, but only for 12 months.
- “*Bonus for young parents*”: Another measure focuses on younger parents (up to 35 years) with dependent children and takes the form of a hiring bonus of EUR 5,000 for each new employee.
- “*Bonus for people living in the southern regions*”: an employment subsidy granted for hiring young (16-34) and an over 35 unemployed for at least six months in the southern regions (Basilicata, Calabria, Campania, Puglia, Sicilia, Abruzzo, Molise and Sardinia). The bonus consists of a contribution of up to EUR 8,060/year for each new open-ended (or apprenticeship) contract. Fixed-term contracts are also subsidised but the incentive is reduced of 50%. This bonus is not simulated in the TaxBEN model as it is not a national measure.
- “*Bonus for unemployment benefit recipients*”: 20% of NASPI benefit entitlement (see section 1), received for the remaining benefit duration.
- “*Bonus for individuals with disabilities*”: a rebate equal to a given fraction of the monthly gross earnings. The rebate and its duration depend on the level and type of disability (not simulated in the TaxBEN model).
- “*Youth Guarantee bonus*”: private sector employers hiring young NEET participating in the Youth Guarantee programme and aged between 15 and 29 are entitled to a reduction of up to EUR 8,060/year for each new open-ended (or apprenticeship) contract. Fixed-term contracts are also subsidised but the incentive is reduced of 50%. The actual amount depends on the profiling class of the NEET, which depends on their employability profile.
- “*Bonus Excellencies*”: a contribution exemption up to a maximum of EUR 8,060/year for those who assume in 2021 young people who have obtained a master's degree in the period January 2020 – June 2021 with an average of at least 108/110 and with a final vote of 110 and praise remaining in the course of studies and within the 30 years of age, as well as those who obtained a doctorate in the same period by 34 years of age (it is assumed, in that last case, without having graduated with a vote of 100 and praise).

- “Bonus recruitment of RdC beneficiaries”: an exemption up to a maximum of EUR 780 over a period equal to the difference between 18 months and the number of months yet benefited, with a minimum of 5 monthly payments of exemption.